

BURLINGTON COMMUNITY SCHOOL DISTRICT

INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS

JUNE 30, 2018

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Burlington Community School District

Officials

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Board of Education (Before September 2017 Election)		
Marlis Robberts	President	2019
Darven Kendell	Vice-President	2017
Dean Vickstrom	Board Member	2017
Linda Garwood	Board Member	2017
Bryan Bross	Board Member	2019
Heather Brueck	Board Member	2019
Deborah Hatteberg	Board Member	2019
Board of Education (After September 2017 Election)		
Marlis Robberts	President	2019
Bryan Bross	Vice-President	2019
Dean Vickstrom	Board Member	2021
Tom Courtney	Board Member	2021
Darven Kendell	Board Member	2021
Heather Brueck	Board Member	2019
Deborah Hatteberg	Board Member	2019
School Officials		
Patrick Coen	Superintendent	2018
Greg Reynolds	Board Secretary/ Treasurer	2018
Ahlers & Cooney, P.C.	Attorney	2018

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

Independent Auditor's Report

To the Board of Education of Burlington Community School District:

Report on the Financial Statements

We have audited the accompanying financial statements of governmental activities, business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District, Burlington, Iowa, as of and for the year ended June 30, 2018, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles. This includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with U.S. generally accepted auditing standards and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business type activities, each major fund, and the aggregate remaining fund information of Burlington Community School District as of June 30, 2018, and the respective changes in financial position and, where applicable, its cash flows thereof for the year then ended in accordance with U.S. generally accepted accounting principles.

Emphasis of a Matter

As discussed in Note 15 to the financial statements, Burlington Community School District adopted new accounting guidance related to Governmental Accounting Standard Board (GASB) Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions. Our opinions are not modified with respect to this matter.

Other Matters

Required Supplementary Information.

U.S. generally accepted accounting principles require Management's Discussion and Analysis, the Budgetary Comparison Information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions and the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes on pages 7 through 15 and 46 through 51 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with U.S. generally accepted auditing standards, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

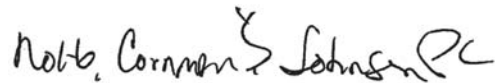
Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Burlington Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2017 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information included in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards required by Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The supplementary information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with U.S. generally accepted auditing standards. In our opinion, the supplementary information, including the Schedule of Expenditures of Federal Awards, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated January 29, 2019, on our consideration of Burlington Community School District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Burlington Community School District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Nolte, Cornman & Johnson PC". The signature is written in a cursive, flowing style.

NOLTE, CORNMAN & JOHNSON, P.C.

January 29, 2019
Newton, Iowa

MANAGEMENT'S DISCUSSION AND ANALYSIS

Burlington Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2018. We encourage readers to consider this information in conjunction with the District's financial statements, which follow.

2018 FINANCIAL HIGHLIGHTS

- The District implemented Governmental Accounting Standards Board Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions, during fiscal year 2018. The beginning net position for governmental activities and business type activities were restated by \$3,319,991 and \$25,899, respectively, to retroactively report the increase in the OPEB liability as of July 1, 2017. OPEB expense for fiscal year 2017 and deferred outflows of resources at June 30, 2017 were not restated because the information needed to restate those amounts was not available.
- The District's total net position increased from \$53,283,686, restated as of July 1, 2017, to \$55,850,004 at June 30, 2018. Total revenues increased from \$59,406,962 in fiscal year 2017 to \$59,924,692 in fiscal year 2018, a 0.87% increase, while total expenses decreased from \$57,867,444 in fiscal year 2017 to \$57,358,374 in fiscal year 2018, a 0.88% decrease compared to the prior year.
- The District's General Fund revenues increased from \$50,596,471 in fiscal year 2017 to \$50,645,513 in fiscal year 2018, while General Fund expenditures decreased from \$50,250,699 in fiscal year 2017 to \$49,257,219 in fiscal year 2018. The District's General Fund balance increased from \$11,407,357 at June 30, 2017 to \$12,795,651 at June 30, 2018, a 12.17% increase from the prior year.
- The increase in fiscal year 2018 General Fund revenues is primarily due to an increase in other local revenues received while the decrease in expenditures was due primarily to a decrease in special instruction costs incurred compared to the prior year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The Government-wide Financial Statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Burlington Community School District as a whole and present an overall view of the District's finances.

The Fund Financial Statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Burlington Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Burlington Community School District acts solely as an agent or custodian for the benefit of those outside of the School District.

Notes to Financial Statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required Supplementary Information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.

Supplementary Information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

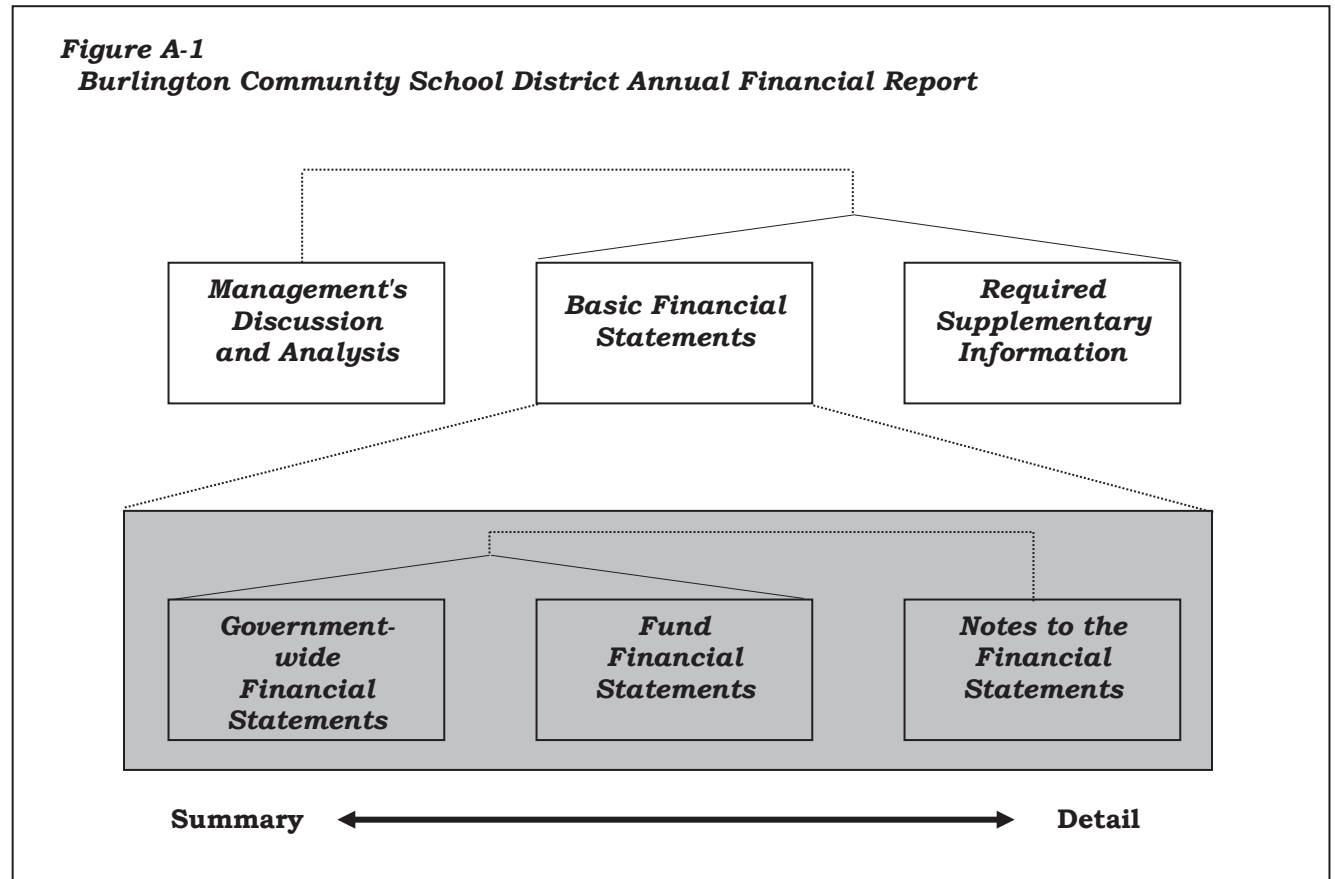


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2
Major Features of the Government-Wide and Fund Financial Statements

	Government-wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire district (except fiduciary funds)	The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance	Activities the district operates similar to private businesses: food service and student construction	Instances in which the district administers resources on behalf of someone else, such as scholarship programs
Required financial statements	· Statement of net position · Statement of activities	· Balance sheet · Statement of revenues, expenditures, and changes in fund balances	· Statement of net position · Statement of revenues, expenses and changes in fund net position · Statement of cash flows	· Statement of fiduciary net position · Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow / inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of fund balance that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period.
Type of inflow/ outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net Position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities:* Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- *Business type activities:* The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) *Governmental funds:* Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for the governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) *Proprietary funds:* Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business type activities, but provide more detail and additional information, such as cash flows. The District currently has two Enterprise Funds, the School Nutrition Fund and the Student Construction Fund. The District's Internal Service Fund, another type of proprietary fund, is the same as the governmental activities, but provides more detail and additional information, such as cash flows. The District currently has one Internal Service Fund used to report activities associated with the District's employee cafeteria benefit plan.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position and a Statement of Cash Flows.

- 3) *Fiduciary funds:* The District is the trustee, or fiduciary, for assets that belong to others. This fund includes the Private Purpose Trust Fund.
 - Private Purpose Trust Fund - The District accounts for outside donations for scholarships for individual students in this fund.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position at June 30, 2018 compared to June 30, 2017.

Figure A-3 Condensed Statement of Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2017		2017		2017		2017-18
	2018	(Not Restated)	2018	(Not Restated)	2018	(Not Restated)	
Current and other assets	\$ 48,284,450	45,995,180	874,330	958,446	49,158,780	46,953,626	4.70%
Capital assets	74,688,374	75,706,491	142,267	91,953	74,830,641	75,798,444	-1.28%
Total assets	122,972,824	121,701,671	1,016,597	1,050,399	123,989,421	122,752,070	1.01%
Deferred outflows of resources	7,195,584	6,878,026	180,954	167,205	7,376,538	7,045,231	4.70%
Long-term liabilities	50,796,316	50,451,403	643,269	635,115	51,439,585	51,086,518	0.69%
Other liabilities	7,532,053	7,652,085	67,826	65,734	7,599,879	7,717,819	-1.53%
Total liabilities	58,328,369	58,103,488	711,095	700,849	59,039,464	58,804,337	0.40%
Deferred inflows of resources	16,446,774	14,354,843	29,717	8,545	16,476,491	14,363,388	14.71%
Net position:							
Net investment in capital assets	50,678,374	49,881,491	142,267	91,953	50,820,641	49,973,444	1.70%
Restricted	13,391,769	12,731,691	-	-	13,391,769	12,731,691	5.18%
Unrestricted	(8,676,878)	(6,491,816)	314,472	416,257	(8,362,406)	(6,075,559)	-37.64%
Total net position	\$ 55,393,265	56,121,366	456,739	508,210	55,850,004	56,629,576	-1.38%

Prior to restatement, the District's total net position decreased 1.38%, or \$779,572, from the prior year. The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased \$660,078, or 5.18%, from the prior year. The increase in restricted net position is primarily a result of the increase in the amount restricted for school infrastructure when compared to the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - decreased \$2,286,847 or 37.64%. This decrease in unrestricted net position was primarily the result of the increase in the District's total OPEB liability.

Figure A-4 shows the changes in net position for the year ended June 30, 2018 compared to the year ended June 30, 2017.

Figure A-4 Changes in Net Position								
	Governmental Activities		Business Type Activities		Total District		Total Change	
	2017		2017		2017		2017	
	2018	(Not Restated)	2018	(Not Restated)	2018	(Not Restated)	2017-18	
Revenues:								
Program revenues:								
Charges for service	\$ 1,421,594	1,252,126	393,910	420,192	1,815,504	1,672,318	8.56%	
Operating grants, contributions and restricted interest	6,486,392	6,558,979	1,387,718	1,426,083	7,874,110	7,985,062	-1.39%	
General revenues:								
Property tax	15,109,698	14,414,004	-	-	15,109,698	14,414,004	4.83%	
Statewide sales, services and use tax	4,119,739	4,272,804	-	-	4,119,739	4,272,804	-3.58%	
Unrestricted state grants	30,464,335	30,807,116	-	-	30,464,335	30,807,116	-1.11%	
Unrestricted investment earnings	269,521	85,692	7,307	1,568	276,828	87,260	217.25%	
Other	260,926	161,966	3,552	6,432	264,478	168,398	57.06%	
Total revenues	58,132,205	57,552,687	1,792,487	1,854,275	59,924,692	59,406,962	0.87%	
Program expenses:								
Instruction	35,171,775	35,409,644	11,636	-	35,183,411	35,409,644	-0.64%	
Support services	15,556,548	15,758,377	-	54,310	15,556,548	15,812,687	-1.62%	
Non-instructional programs	41,799	32,122	1,720,059	1,744,417	1,761,858	1,776,539	-0.83%	
Other expenses	4,856,557	4,868,574	-	-	4,856,557	4,868,574	-0.25%	
Total expenses	55,626,679	56,068,717	1,731,695	1,798,727	57,358,374	57,867,444	-0.88%	
Excess of revenues over expenses	2,505,526	1,483,970	60,792	55,548	2,566,318	1,539,518	66.70%	
Transfers	86,364	-	(86,364)	-	-	-	0.00%	
Change in net position	2,591,890	1,483,970	(25,572)	55,548	2,566,318	1,539,518	66.70%	
Net position beginning of year, as restated	52,801,375	54,637,396	482,311	452,662	53,283,686	55,090,058	-3.28%	
Net position end of year	\$ 55,393,265	56,121,366	456,739	508,210	55,850,004	56,629,576	-1.38%	

In fiscal year 2018, property tax, statewide sales, services and use tax and unrestricted state grants accounted for 85.48% of the revenue from governmental activities while charges for service and operating grants and contributions accounted for 99.39% of the revenue from business type activities.

The District's total revenues were approximately \$59.92 million, of which approximately \$58.13 million was for governmental activities and approximately \$1.79 million was for business type activities.

As shown in Figure A-4, the District as a whole experienced a 0.87% increase in revenues and a 0.88% decrease in expenses. The primary reason for the increase in revenues was an increase in property tax received. The decrease in expenses occurred mainly in the instruction and support services functional areas compared to the prior year.

Governmental Activities

Revenues for governmental activities were \$58,132,205 and expenses were \$55,626,679 for the year ended June 30, 2018.

The following table presents the total and net cost of the District's major governmental activities, instruction, support services, non-instructional programs and other expenses, for the year ended June 30, 2018 compared to those expenses for the year ended June 30, 2017.

Figure A-5 Total and Net Cost of Governmental Activities						
	Total Cost of Services			Net Cost of Services		
	2018	2017 (Not Restated)	Change 2017-18	2018	2017 (Not Restated)	Change 2017-18
Instruction	\$ 35,171,775	35,409,644	-0.67%	29,566,510	29,796,139	-0.77%
Support services	15,556,548	15,758,377	-1.28%	15,275,868	15,536,853	-1.68%
Non-instructional programs	41,799	32,122	30.13%	24,951	21,046	18.55%
Other expenses	4,856,557	4,868,574	-0.25%	2,851,364	2,903,574	-1.80%
Total	<u>\$ 55,626,679</u>	<u>56,068,717</u>	<u>-0.79%</u>	<u>47,718,693</u>	<u>48,257,612</u>	<u>-1.12%</u>

For the year ended June 30, 2018:

- The cost financed by users of the District's programs was \$1,421,594.
- Federal and state governments along with contributions from local sources subsidized certain programs with grants and contributions totaling \$6,486,392.
- The net cost of governmental activities was financed with \$15,109,698 in property tax, \$4,119,739 in statewide sales, services and use tax, \$30,464,335 in unrestricted state grants, \$269,521 in interest income, and \$260,926 in other general revenues

Business Type Activities

Revenues of the District's business type activities during the year ended June 30, 2018 were \$1,7992,487, a 3.33% decrease from the prior year, and expenses were \$1,731,695, a 3.73% decrease from the prior year. The District's business type activities include the School Nutrition Fund and Student Construction Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements, donations, investment and other income.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Burlington Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$24,800,728, above last year's ending combined fund balances of \$22,310,524. The increase in combined fund balances is mainly attributable to the increase in fund balances of the General Fund and Capital Projects Fund.

Governmental Fund Highlights

- The General Fund balance increased from \$11,407,357 at June 30, 2017 to \$12,795,651 at June 30, 2018. Revenues increased from the prior year primarily due to an increase in revenues from other local sources; expenditures for the year decreased due in part to a decrease in special instruction costs incurred. Revenues continued to exceed expenses resulting in an increase in fund balance of \$1,388,294.
- The Capital Projects Fund balance increased from \$5,006,783 at June 30, 2017 to \$5,826,826 at June 30, 2018. Expenditures decreased due in part to decreased transfers for debt payments on the District's revenue bonds.

- The Debt Service Fund increased slightly from \$3,691,895 at June 30, 2017 to \$3,714,794 at June 30, 2018. The Debt Service Fund is used to record principal and interest payments on the District's long-term debt. Revenues from interfund transfers were lower and interest income grew while expenditures did not vary significantly from the prior year.

Proprietary Fund Highlights

The School Nutrition Fund net position decreased from \$482,311, restated as of July 1, 2017, to \$440,640 at June 30, 2018, representing a decrease of 8.64%. Revenues and expenses decreased compared to the prior year. The net position of the newly established Student Construction Fund was \$16,099 at June 30, 2018. Start up costs were reimbursed with a one-time transfer from the General Fund while the District accepted donations that led to the net position at year end.

BUDGETARY HIGHLIGHTS

The District's revenues were \$1,015,567 less than budgeted revenues, a variance of 1.67%. The most significant dollar variance resulted from the District receiving less from state sources than originally anticipated.

Total expenditures were less than budgeted, primarily due to the District's budget for the General Fund. It is the District's practice to budget expenditures using realistic projections based from prior year expenditures with a buffer built as to not exceed the annual budget. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed actual expenditures for the year.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2018, the District had invested approximately \$74.83 million, net of accumulated depreciation, in a broad range of capital assets, including land, buildings, athletic facilities, computers, audio-visual equipment and transportation equipment. (See Figure A-6) This represents a net decrease of 1.28% from last year. More detailed information about the District's capital assets is presented in Note 5 to the financial statements. Depreciation expense for the year was \$2,613,575.

The original cost of the District's capital assets was approximately \$118.36 million. Governmental activities accounted for approximately \$117.65 million of the total with the remainder of approximately \$0.71 million accounted for in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the buildings category. The District's buildings totaled \$67,071,601 at June 30, 2018, compared to \$68,783,660 reported at June 30, 2017. This decrease resulted from the annual depreciation expense recognized during the year.

Figure A-6 Capital Assets, Net of Depreciation							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2018	2017	2018	2017	2018	2017	2017-18
Land	\$ 3,036,734	3,036,734	-	-	3,036,734	3,036,734	0.00%
Construction in progress	160,101	36,560	-	-	160,101	36,560	337.91%
Buildings	67,071,601	68,783,660	-	-	67,071,601	68,783,660	-2.49%
Land improvements	606,242	576,337	-	-	606,242	576,337	5.19%
Machinery and equipment	3,813,696	3,273,200	142,267	91,953	3,955,963	3,365,153	17.56%
Total	\$ 74,688,374	75,706,491	142,267	91,953	74,830,641	75,798,444	-1.28%

Long-Term Debt

At June 30, 2018, the District had \$24,010,000 of total long-term debt outstanding. This represents a decrease of 7.03% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The District had outstanding revenue bonded indebtedness of \$24,010,000 at June 30, 2018, payable from the Capital Projects: Statewide Sales, Services and Use Tax Fund.

Figure A-7		
Outstanding Long-Term Obligations		
Total District		Total Change
June 30,		June 30,
2018	2017	2017-18
Revenue bonds	\$ 24,010,000	25,825,000 -7.03%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The State of Iowa set the supplemental state aid for fiscal year 2019 at 1.0%, but has not set the supplemental state aid for fiscal year 2020 and beyond. The District's inability to predict future revenues will continue to have a significant impact on future budget discussions. As approximately 80% of the District's General Fund budget is comprised of salary and benefits, wage and salary adjustments realized through collective bargaining along with escalating health insurance premiums will have a significant impact on District expenses.
- The Iowa school funding formula is highly dependent upon student enrollment. The District's certified enrollment in 2013 was 4,655 students and is now at 4,139, a reduction of 516 fewer students. Current enrollment continues to decline at a higher rate than State projections and State projections show a continued decline in enrollment which will continue to negatively impact the District's revenues.
- Annual fluctuations in enrollment and supplemental state aid present several budgetary challenges and the District will continue to explore options to maintain a balanced budget. As a result of declining enrollment, low supplemental state aid and increased costs, the Board recently voted to close one elementary building after the 2019 school year and realign the elementary and middle school grades in order to reduce operating costs.
- The state of the economy at both the national and state level impact the District's general fund revenues as the state revenues support state school aid. While the economy has been slowly improving, future funding to schools will continue to be directly affected. As costs continue to increase while projected revenues will continue to decline over the next five years, the District will need to continue to anticipate budget cuts in the foreseeable future.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Business and Finance Office, Burlington Community School District, 1429 West Avenue, Burlington, Iowa 52601.



Burlington Community School District

BASIC FINANCIAL STATEMENTS

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2018

	Governmental Activities	Business Type Activities	Total
Assets			
Cash and pooled investments	\$ 31,147,834	811,650	31,959,484
Receivables:			
Property tax:			
Delinquent	163,682	-	163,682
Succeeding year	15,248,119	-	15,248,119
Accounts	9,859	-	9,859
Due from other governments	1,706,256	14,522	1,720,778
Prepaid expenses	8,700	-	8,700
Inventories	-	48,158	48,158
Capital assets not being depreciated:			
Land and construction in progress	3,196,835	-	3,196,835
Capital assets, net of accumulated depreciation:			
Buildings, land improvements and machinery and equipment	71,491,539	142,267	71,633,806
Total assets	122,972,824	1,016,597	123,989,421
Deferred Outflows of Resources			
Pension related deferred outflows	7,195,584	180,954	7,376,538
Liabilities			
Accounts payable	2,548,904	2,948	2,551,852
Salaries and benefits payable	4,931,758	45,953	4,977,711
Advances from grantors	51,391	-	51,391
Unearned revenue	-	18,925	18,925
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	1,860,000	-	1,860,000
Compensated absences	217,962	2,137	220,099
Portion due after one year:			
Revenue bonds	22,150,000	-	22,150,000
Net pension liability	24,860,824	629,614	25,490,438
Total OPEB liability	1,707,530	11,518	1,719,048
Total liabilities	58,328,369	711,095	59,039,464
Deferred Inflows of Resources			
Unavailable property tax revenue	15,248,119	-	15,248,119
Pension related deferred inflows	1,164,233	29,485	1,193,718
OPEB related deferred inflows	34,422	232	34,654
Total deferred inflows of resources	16,446,774	29,717	16,476,491
Net Position			
Net investment in capital assets	50,678,374	142,267	50,820,641
Restricted for:			
Categorical funding	1,390,047	-	1,390,047
Debt service	3,714,794	-	3,714,794
Management levy purposes	1,356,426	-	1,356,426
Student activities	322,350	-	322,350
Support trust purposes	784,681	-	784,681
School infrastructure	4,453,073	-	4,453,073
Physical plant and equipment	1,373,753	-	1,373,753
Unrestricted	(8,680,233)	314,472	(8,365,761)
Total net position	\$ 55,393,265	456,739	55,850,004

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2018

	Program Revenues			Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Service	Operating Grants, Contributions and Restricted Interest	Governmental Activities	Business Type Activities	Total
Functions/Programs:						
Governmental activities:						
Instruction:						
Regular	\$ 22,185,124	609,898	645,716	(20,929,510)	-	(20,929,510)
Special	7,376,500	364,649	1,527,811	(5,484,040)	-	(5,484,040)
Other	5,610,151	444,479	2,012,712	(3,152,960)	-	(3,152,960)
	35,171,775	1,419,026	4,186,239	(29,566,510)	-	(29,566,510)
Support services:						
Student	1,689,166	-	27,649	(1,661,517)	-	(1,661,517)
Instructional staff	2,472,814	-	102,939	(2,369,875)	-	(2,369,875)
Administration	5,360,276	-	67,719	(5,292,557)	-	(5,292,557)
Operation and maintenance of plant	4,561,369	-	7,953	(4,553,416)	-	(4,553,416)
Transportation	1,472,923	2,568	71,852	(1,398,503)	-	(1,398,503)
	15,556,548	2,568	278,112	(15,275,868)	-	(15,275,868)
Non-instructional programs:						
Food service operations	15,391	-	-	(15,391)	-	(15,391)
Community service operations	26,408	-	16,848	(9,560)	-	(9,560)
	41,799	-	16,848	(24,951)	-	(24,951)
Long-term debt interest	985,677	-	-	(985,677)	-	(985,677)
Other expenditures:						
AEA flowthrough	2,005,193	-	2,005,193	-	-	-
Depreciation(unallocated)*	1,865,687	-	-	(1,865,687)	-	(1,865,687)
	3,870,880	-	2,005,193	(1,865,687)	-	(1,865,687)
Total governmental activities	55,626,679	1,421,594	6,486,392	(47,718,693)	-	(47,718,693)
Business type activities:						
Instruction:						
Regular	1,057	-	-	-	(1,057)	(1,057)
Other	10,579	-	16,099	-	5,520	5,520
	11,636	-	16,099	-	4,463	4,463
Non-instructional programs:						
Food service operations	1,720,059	393,910	1,371,619	-	45,470	45,470
Total business type activities	1,731,695	393,910	1,387,718	-	49,933	49,933
Total	\$ 57,358,374	1,815,504	7,874,110	(47,718,693)	49,933	(47,668,760)
General Revenues and Transfers:						
Property tax levied for:						
General purposes				\$ 14,070,427	-	14,070,427
Capital outlay				1,039,271	-	1,039,271
Statewide sales, services and use tax				4,119,739	-	4,119,739
Unrestricted state grants				30,464,335	-	30,464,335
Unrestricted investment earnings				269,521	7,307	276,828
Other				260,926	3,552	264,478
Transfers				86,364	(86,364)	-
Total general revenues and transfers				50,310,583	(75,505)	50,235,078
Change in net position				2,591,890	(25,572)	2,566,318
Net position beginning of year, as restated				52,801,375	482,311	53,283,686
Net position end of year				\$ 55,393,265	456,739	55,850,004

* This amount excludes the depreciation that is included in the direct expense of various programs.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2018

	General	Capital Projects	Debt Service	Nonmajor	Total
Assets					
Cash and pooled investments	\$ 17,238,385	5,598,596	5,105,133	2,502,170	30,444,284
Receivables:					
Property tax:					
Delinquent	132,019	11,005	-	20,658	163,682
Succeeding year	12,894,682	1,053,440	-	1,299,997	15,248,119
Accounts	9,859	-	-	-	9,859
Due from other governments	1,357,272	348,984	-	-	1,706,256
Prepaid expenses	8,700	-	-	-	8,700
Total assets	\$ 31,640,917	7,012,025	5,105,133	3,822,825	47,580,900
Liabilities, Deferred Inflows of Resources and Fund Balances					
Liabilities:					
Accounts payable	\$ 967,435	131,759	1,390,339	59,371	2,548,904
Salaries and benefits payable	4,931,758	-	-	-	4,931,758
Advances from grantors	51,391	-	-	-	51,391
Total liabilities	5,950,584	131,759	1,390,339	59,371	7,532,053
Deferred inflows of resources:					
Unavailable revenues:					
Succeeding year property tax	12,894,682	1,053,440	-	1,299,997	15,248,119
Fund balances:					
Restricted for:					
Nonspendable	8,700	-	-	-	8,700
Categorical funding	1,390,047	-	-	-	1,390,047
Debt service	-	-	3,714,794	-	3,714,794
Management levy purposes	-	-	-	1,356,426	1,356,426
Student activities	-	-	-	322,350	322,350
Support trust purposes	-	-	-	784,681	784,681
School infrastructure	-	4,453,073	-	-	4,453,073
Physical plant and equipment	-	1,373,753	-	-	1,373,753
Assigned for special purposes	174,461	-	-	-	174,461
Unassigned	11,222,443	-	-	-	11,222,443
Total fund balances	12,795,651	5,826,826	3,714,794	2,463,457	24,800,728
Total liabilities, deferred inflows of resources and fund balances	\$ 31,640,917	7,012,025	5,105,133	3,822,825	47,580,900

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE BALANCE SHEET - GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
JUNE 30, 2018

Total fund balances of governmental funds(page 20) \$ 24,800,728

***Amounts reported for governmental activities in the Statement of Net Position
are different because:***

Capital assets used in governmental activities are not financial resources and,
therefore, are not reported as assets in the governmental funds. 74,688,374

Blending of the Internal Service Fund to be reflected on an entity-wide basis. 703,550

Pension and OPEB related deferred outflows of resources and deferred inflows
of resources are not due and payable in the current year and, therefore, are not
reported in the governmental funds, as follows:

Deferred outflows of resources	\$ 7,195,584	
Deferred inflows of resources	<u>(1,198,655)</u>	5,996,929

Long-term liabilities, including revenue bonds payable, compensated absences
payable, net pension liability and total OPEB liability are not due and payable
in the current year and, therefore, are not reported in the governmental funds. (50,796,316)

Net position of governmental activities(page 18) \$ 55,393,265

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2018

	General	Capital Projects	Debt Service	Nonmajor	Total
Revenues:					
Local sources:					
Local tax	\$ 12,173,420	1,039,271	-	1,897,007	15,109,698
Tuition	798,301	-	-	-	798,301
Other	641,533	44,250	48,773	506,690	1,241,246
State sources	33,114,924	4,135,910	-	30,863	37,281,697
Federal sources	3,701,263	-	-	-	3,701,263
Total revenues	50,429,441	5,219,431	48,773	2,434,560	58,132,205
Expenditures:					
Current:					
Instruction:					
Regular	21,004,768	-	-	798,428	21,803,196
Special	7,299,380	-	-	-	7,299,380
Other	4,899,814	-	-	536,608	5,436,422
	33,203,962	-	-	1,335,036	34,538,998
Support services:					
Student	1,735,858	-	-	19,519	1,755,377
Instructional staff	2,359,846	264,423	-	23,939	2,648,208
Administration	5,103,051	-	-	157,393	5,260,444
Operation and maintenance of plant	3,650,201	73,194	-	539,745	4,263,140
Transportation	1,161,064	191,145	-	84,569	1,436,778
	14,010,020	528,762	-	825,165	15,363,947
Non-instructional programs:					
Food service operations	-	-	-	15,391	15,391
Community service operations	26,408	-	-	-	26,408
	26,408	-	-	15,391	41,799
Capital outlay	-	1,109,633	-	-	1,109,633
Long-term debt:					
Principal	-	-	1,815,000	-	1,815,000
Interest and fiscal charges	-	-	985,677	-	985,677
	-	-	2,800,677	-	2,800,677
Other expenditures:					
AEA flowthrough	2,005,193	-	-	-	2,005,193
Total expenditures	49,245,583	1,638,395	2,800,677	2,175,592	55,860,247
Excess(Deficiency) of revenues over(under) expenditures	1,183,858	3,581,036	(2,751,904)	258,968	2,271,958
Other financing sources(uses):					
Proceeds from sale of equipment	2,976	13,810	-	-	16,786
Insurance proceeds	115,096	-	-	-	115,096
Transfer in	98,000	-	2,774,803	-	2,872,803
Transfer out	(11,636)	(2,774,803)	-	-	(2,786,439)
Total other financing sources(uses)	204,436	(2,760,993)	2,774,803	-	218,246
Change in fund balances	1,388,294	820,043	22,899	258,968	2,490,204
Fund balances beginning of year	11,407,357	5,006,783	3,691,895	2,204,489	22,310,524
Fund balances end of year	\$ 12,795,651	5,826,826	3,714,794	2,463,457	24,800,728

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
 CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS
 TO THE STATEMENT OF ACTIVITIES
 YEAR ENDED JUNE 30, 2018

Change in fund balances - total governmental funds (page 22) \$ 2,490,204

***Amounts reported for governmental activities in the Statement of Activities
 are different because:***

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. These costs are not reported in the Statement of Activities, but they are allocated over the estimated useful lives of the capital assets as depreciation expense in the Statement of Activities. Capital outlay expenditures, depreciation expense and loss on disposal in the current year were as follows:

Capital outlay	\$ 1,577,644	
Depreciation expense	(2,585,882)	
Loss on disposal	<u>(9,879)</u>	(1,018,117)

Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position. 1,815,000

Net change in the Internal Service Fund charged back against expenditures made for self-funded insurance on an entity-wide basis. 248,674

The current year District IPERS contributions are reported as expenditures in the governmental funds, but are reported as deferred outflows of resources in the Statement of Net Position. 2,432,190

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	(20,335)	
Pension expense	(3,365,264)	
Total OPEB liability and related expenses	<u>9,538</u>	<u>(3,376,061)</u>

Change in net position of governmental activities (page 19) \$ 2,591,890

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2018

	Business Type Activities: Enterprise Funds			Governmental Activities: Internal Service
	School Nutrition	Student Construction	Total	
Assets				
Current assets:				
Cash and pooled investments	\$ 795,551	16,099	811,650	703,550
Due from other governments	14,522	-	14,522	-
Inventories	48,158	-	48,158	-
Total current assets	858,231	16,099	874,330	703,550
Noncurrent assets:				
Capital assets, net of accumulated depreciation	142,267	-	142,267	-
Total assets	1,000,498	16,099	1,016,597	703,550
Deferred Outflows of Resources				
Pension related deferred outflows	180,954	-	180,954	-
Liabilities				
Current liabilities:				
Accounts payable	2,948	-	2,948	-
Salaries and benefits payable	45,953	-	45,953	-
Unearned revenue	18,925	-	18,925	-
Total current liabilities	67,826	-	67,826	-
Noncurrent liabilities:				
Compensated absences	2,137	-	2,137	-
Net pension liability	629,614	-	629,614	-
Total OPEB liability	11,518	-	11,518	-
Total noncurrent liabilities	643,269	-	643,269	-
Total liabilities	711,095	-	711,095	-
Deferred Inflows of Resources				
Pension related deferred inflows	29,485	-	29,485	-
OPEB related deferred inflows	232	-	232	-
Total deferred inflows of resources	29,717	-	29,717	-
Net Position				
Net investment in capital assets	142,267	-	142,267	-
Unrestricted	298,373	16,099	314,472	703,550
Total net position	\$ 440,640	16,099	456,739	703,550

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2018

	Business Type Activities: Enterprise Funds			Governmental Activities: Internal Service
	School Nutrition	Student Construction	Total	
Operating revenues:				
Local sources:				
Charges for service	\$ 393,910	-	393,910	-
Miscellaneous	3,552	-	3,552	7,048,930
Total operating revenues	397,462	-	397,462	7,048,930
Operating expenses:				
Instruction:				
Regular:				
Supplies	-	1,057	1,057	-
Other:				
Supplies	-	10,579	10,579	-
	-	11,636	11,636	-
Support services:				
Administration:				
Services	-	-	-	6,800,256
Non-instructional programs:				
Food service operations:				
Salaries	687,022	-	687,022	-
Benefits	158,540	-	158,540	-
Services	708	-	708	-
Supplies	845,641	-	845,641	-
Depreciation	27,693	-	27,693	-
Other	455	-	455	-
	1,720,059	-	1,720,059	-
Total operating expenses	1,720,059	11,636	1,731,695	6,800,256
Operating income(loss)	(1,322,597)	(11,636)	(1,334,233)	248,674
Non-operating revenues:				
State sources	13,538	-	13,538	-
Federal sources	1,358,081	-	1,358,081	-
Interest income	7,307	-	7,307	-
Gifts and contributions	-	16,099	16,099	-
Total non-operating revenues	1,378,926	16,099	1,395,025	-
Change in net position before other financing sources(uses)	56,329	4,463	60,792	248,674
Other financing sources(uses):				
Transfer in	-	11,636	11,636	-
Transfer out	(98,000)	-	(98,000)	-
Total other financing sources(uses)	(98,000)	11,636	(86,364)	-
Change in net position	(41,671)	16,099	(25,572)	248,674
Net position beginning of year, as restated	482,311	-	482,311	454,876
Net position end of year	\$ 440,640	16,099	456,739	703,550

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2018

	Business Type Activities: Enterprise Funds			Governmental Activities: Internal Service
	School Nutrition	Student Construction	Total	
Cash flows from operating activities:				
Cash received from sale of lunches and breakfasts	\$ 347,377	-	347,377	-
Cash received from sales to other entities	42,672	-	42,672	-
Cash received from miscellaneous	3,552	-	3,552	7,048,930
Cash payments to employees for services	(840,899)	-	(840,899)	-
Cash payments to suppliers for goods or services	(726,029)	(11,636)	(737,665)	(6,800,256)
Net cash provided by(used in) operating activities	(1,173,327)	(11,636)	(1,184,963)	248,674
Cash flows from non-capital financing activities:				
Transfers (to)from the General Fund	(98,000)	11,636	(86,364)	-
Repayments from other funds	4,831	-	4,831	-
Gifts and contributions received	-	16,099	16,099	-
State grants received	13,538	-	13,538	-
Federal grants received	1,222,659	-	1,222,659	-
Net cash provided by non-capital financing activities	1,143,028	27,735	1,170,763	-
Cash flows from capital and related financing activities:				
Purchase of capital assets	(78,007)	-	(78,007)	-
Cash flows from investing activities:				
Interest on investments	7,307	-	7,307	-
Net increase(decrease) in cash and pooled investments	(100,999)	16,099	(84,900)	248,674
Cash and pooled investments beginning of year	896,550	-	896,550	454,876
Cash and pooled investments end of year	\$ 795,551	16,099	811,650	703,550
Reconciliation of operating income(loss) to net cash provided by(used in) operating activities:				
Operating income(loss)	\$ (1,322,597)	(11,636)	(1,334,233)	248,674
Adjustments to reconcile operating income(loss) to net cash provided by(used in) operating activities:				
Commodities consumed	135,290	-	135,290	-
Depreciation	27,693	-	27,693	-
Increase in inventories	(14,958)	-	(14,958)	-
Increase in due from other governments	(4,610)	-	(4,610)	-
Increase in accounts payable	443	-	443	-
Increase in salaries and benefits payable	900	-	900	-
Decrease in compensated absences	(4,362)	-	(4,362)	-
Increase in net pension liability	998	-	998	-
Increase in deferred outflows of resources	(13,749)	-	(13,749)	-
Increase in deferred inflows of resources	21,172	-	21,172	-
Increase in unearned revenue	749	-	749	-
Decrease in OPEB liability	(296)	-	(296)	-
Net cash provided by(used in) operating activities	\$ (1,173,327)	(11,636)	(1,184,963)	248,674

Non-cash investing, capital and related financing activities:

During the year ended June 30, 2018, the District received \$135,290 of federal commodities.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUND
JUNE 30, 2018

	<u>Private Purpose Trust Scholarship</u>
Assets	
Cash and pooled investments	<u>\$ 87,047</u>
Liabilities	<u>-</u>
Net Position	
Held in trust for scholarships	<u><u>\$ 87,047</u></u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
YEAR ENDED JUNE 30, 2018

	<u>Private Purpose Trust Scholarship</u>
Additions:	
Local sources:	
Gifts and contributions	\$ 3,711
Interest income	165
Total additions	<u>3,876</u>
Deductions:	
Instruction:	
Regular:	
Scholarships awarded	<u>2,506</u>
Change in net position	1,370
Net position beginning of year	<u>85,677</u>
Net position end of year	<u>\$ 87,047</u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2018

(1) Summary of Significant Accounting Policies

Burlington Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the City of Burlington, Iowa, and the predominate agricultural territory in Des Moines County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Government Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Burlington Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District. The District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations - The District participates in a jointly governed organization that provides services to the District but do not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Des Moines County Assessors' Conference Board.

B. Basis of Presentation

Government-wide Financial Statements - The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows or resources, liabilities and deferred inflows or resources, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted net position.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements - Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenses, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The Debt Service Fund is utilized to account for the property tax and other revenues to be used for the payment of interest and principal on the District's general long-term debt.

The District also reports the following non-major proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the food service operations of the District.

The Student Construction Fund is used to account for revenues and expenses associated with the District's construction trades program.

The Internal Service Fund is used to account for the flexible health program offered by the District. The Internal Service Fund is charged back to the governmental funds and shown combined in the Statement of Net Position and the Statement of Activities.

The District also reports fiduciary funds which focus on net position and changes in net position. The District's fiduciary fund is as follows:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

C. Measurement Focus and Basis of Accounting

The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measureable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less restrictive classifications - committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's Enterprise Funds are charges to customers for sales and services. Operating expenses for Enterprise Funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

The District maintains its financial records on the cash basis. The financial statements of the District are prepared by making memorandum adjusting entries to the cash basis financial records.

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity/Net Position

Cash, Pooled Investments and Cash Equivalents - The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investments in the Iowa Schools Joint Investment Trust and The Education Liquidity Fund which are valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and at the day of purchase, they have a maturity date no longer than three months.

Property Tax Receivable - Property taxes in governmental funds are accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is reported as a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1½% per month penalty for delinquent payments; is based on January 1, 2016 assessed property valuations; is for the tax accrual period July 1, 2017 through June 30, 2018 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2017.

Due from Other Governments - Due from other governments represents the amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Prepaid Expenses - Representing deposits on the District's flex spending program and other payments for services not yet provided.

Inventories - Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital Assets - Capital assets, which include property, machinery and equipment and intangibles acquired after July 1, 1980 are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost if purchased or constructed. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The costs of normal maintenance and repair that do not add to the value of the asset or materially extend asset lives are not capitalized. Reportable capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ -
Buildings	5,000
Land improvements	5,000
Intangibles	100,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other machinery and equipment	5,000

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	2 or more years
Machinery and equipment	5-12 years

Deferred Outflows of Resources - Deferred outflows of resources represent a consumption of net position applicable to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, the unamortized portion of the net difference between projected and actual earnings on pension plan investments and contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and Benefits Payable - Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Advances from Grantors - Grant proceeds which have been received by the District but will be spent in a succeeding fiscal year.

Unearned Revenues - Unearned revenues are monies collected for lunches that have not yet been served. The lunch account balances will either be reimbursed or served lunches. The lunch account balances are reflected on the Statement of Net Position in the Proprietary, School Nutrition Fund.

Long-term Liabilities - In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Compensated Absences - District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in the governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect at June 30, 2018. The compensated absences liability attributable to the governmental activities will be primarily paid by the General Fund. Compensated absences attributable to the business type activities will be paid by the School Nutrition Fund.

Pensions - For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments, including refunds of employee contributions, are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Total OPEB Liability - For purposes of measuring the total OPEB liability, deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund while the portion attributable to the business type activities will be paid primarily by the Enterprise, School Nutrition Fund.

Deferred Inflows of Resources - Deferred inflows of resources represent an acquisition of net position applicable to a future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources consist of property tax receivable and other receivables not collected within sixty days after year end.

Deferred inflows of resources in the Statement of Net Position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension and OPEB expense.

Fund Equity - In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable - Amounts which cannot be spent because they are legally or contractually required to be intact or are not expected to be converted to cash.

Restricted - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Assigned - Amounts the District management intends to use for specific purposes.

Unassigned - All amounts not included in the preceding classifications.

E. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as Required Supplementary Information.

(2) **Cash and Pooled Investments**

The District's deposits in banks at June 30, 2018 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

At June 30, 2018, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Direct Governmental Obligation Portfolio and The Education Liquidity Fund (TELF) valued at an amortized cost of \$16,642,191 and \$2,530,823 respectively, pursuant to Rule 21-7 under the Investment Company Act of 1940. There were no limitations or restrictions on the withdrawals of the ISJIT or TELF investments. The investments in the Iowa Schools Investment Trust were rated AAAM by Standard & Poor's Financial Services. The investments in The Education Liquidity Fund are registered and not subject to rating.

(3) **Interfund Transfers**

The detail of interfund transfers for the year ended June 30, 2018 is as follows:

Transfer to	Transfer from	Amount
Debt Service	Capital Projects: Statewide Sales, Services and Use Tax	\$ 2,774,803
General	School Nutrition	98,000
Student Construction	General	11,636
Total		<u>\$ 2,884,439</u>

The transfer from the Capital Projects: Statewide Sales, Services and Use Tax Fund to the Debt Service Fund was for principal and interest payments on the District's revenue bonded indebtedness.

The transfer from the School Nutrition Fund to the General Fund was a reimbursement for indirect costs incurred during the year.

The transfer from the General Fund to the Student Construction Fund was to cover start-up costs in the first year of the District's construction trades program.

(4) **Construction Commitments**

The District has entered into contracts totaling \$407,874 for various construction and building improvement projects around the District. As of June 30, 2018, costs of \$160,101 had been incurred against the contracts. The balance of \$247,773 remaining at June 30, 2018 will be paid as work on the projects progress.

(5) Capital Assets

Capital assets activity for the year ended June 30, 2018 was as follows:

	Balance Beginning of of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 3,036,734	-	-	3,036,734
Construction in progress	36,560	891,450	767,909	160,101
Total capital assets not being depreciated	3,073,294	891,450	767,909	3,196,835
Capital assets being depreciated:				
Buildings	92,481,062	117,358	-	92,598,420
Land improvements	1,339,280	66,175	-	1,405,455
Machinery and equipment	19,416,395	1,270,570	237,861	20,449,104
Total capital assets being depreciated	113,236,737	1,454,103	237,861	114,452,979
Less accumulated depreciation for:				
Buildings	23,697,402	1,829,417	-	25,526,819
Land improvements	762,943	36,270	-	799,213
Machinery and equipment	16,143,195	720,195	227,982	16,635,408
Total accumulated depreciation	40,603,540	2,585,882	227,982	42,961,440
Total capital assets being depreciated, net	72,633,197	(1,131,779)	9,879	71,491,539
Governmental activities capital assets, net	\$ 75,706,491	(240,329)	777,788	74,688,374
Business type activities:				
Machinery and equipment	\$ 631,769	78,007	-	709,776
Less accumulated depreciation	539,816	27,693	-	567,509
Business type activities capital assets, net	\$ 91,953	50,314	-	142,267

Depreciation expense was charged by the District as follows:

Governmental activities:	
Instruction:	
Regular	\$ 231,309
Support services:	
Administration	68,375
Operation and maintenance of plant	158,435
Transportation	262,076
	720,195
Unallocated depreciation	1,865,687
Total governmental activities depreciation expense	\$ 2,585,882
Business type activities:	
Food service operations	\$ 27,693

(6) Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2018 are summarized as follows:

	Balance Beginning of Year, as restated	Additions	Deletions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 25,825,000	-	1,815,000	24,010,000	1,860,000
Compensated absences	197,627	217,962	197,627	217,962	217,962
Net pension liability	24,428,776	432,048	-	24,860,824	-
Total OPEB liability	1,751,490	-	43,960	1,707,530	-
Total	<u>\$ 52,202,893</u>	<u>650,010</u>	<u>2,056,587</u>	<u>50,796,316</u>	<u>2,077,962</u>
Business type activities:					
Compensated absences	\$ 6,499	2,137	6,499	2,137	2,137
Net pension liability	628,616	998	-	629,614	-
Total OPEB liability	11,814	-	296	11,518	-
Total	<u>\$ 646,929</u>	<u>3,135</u>	<u>6,795</u>	<u>643,269</u>	<u>2,137</u>

Revenue Bonds

Details of the District's June 30, 2018 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year Ending June 30,	Bond issue of March 1, 2009						Bond issue of December 1, 2009		
	Series A			Series B			Series C		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2019	4.38%	\$ -	282,296	4.60%	\$ -	252,152	4.00%	\$ 1,635,000	157,993
2020	4.38	-	282,296	4.60	-	252,152	4.10	1,680,000	91,672
2021	4.38	475,000	271,905	4.60	610,000	252,152	4.25	645,000	33,106
2022	4.60	870,000	241,505	4.65	825,000	223,788	4.50	95,000	11,588
2023	4.70	910,000	200,111	4.80	850,000	185,426	4.50	90,000	7,313
2024-2028	4.80-5.10	3,620,000	338,488	4.90-5.00	2,910,000	298,126	4.50	95,000	3,262
Total		<u>\$ 5,875,000</u>	<u>1,616,601</u>		<u>\$ 5,195,000</u>	<u>1,463,796</u>		<u>\$ 4,240,000</u>	<u>304,934</u>
Bond issue of December 12, 2012									
Year Ending June 30,	Partial Advance Refunding 2009 Series A&B				Total				
	Interest Rate	Principal	Interest		Principal	Interest	Total		
2019	1.38%	\$ 225,000	217,285		1,860,000	909,726	2,769,726		
2020	1.63	230,000	214,013		1,910,000	840,133	2,750,133		
2021	2.00	240,000	210,010		1,970,000	767,173	2,737,173		
2022	2.00	250,000	205,160		2,040,000	682,041	2,722,041		
2023	2.10	260,000	200,045		2,110,000	592,895	2,702,895		
2024-2028	2.25-2.50	5,495,000	835,807		12,120,000	1,475,683	13,595,683		
2029	3.00	2,000,000	45,000		2,000,000	45,000	2,045,000		
Total		<u>\$ 8,700,000</u>	<u>1,927,320</u>		<u>24,010,000</u>	<u>5,312,651</u>	<u>29,322,651</u>		

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds issued in March and December 2009 and December 2012. The bonds were issued for the purpose of building and furnishing a new middle school and refunding outstanding project notes and bonds issued for said purpose. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2029. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require approximately 67% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$29,322,651. For the current year \$1,815,000 in principal and \$977,678 in interest was paid on the bonds and total statewide sales, services and use tax revenues were \$4,119,739.

The resolution providing for the issuance of the statewide sales, services and use tax revenue bonds includes the following provisions:

- a) \$3,433,640 of the proceeds from the issuance of the revenue bonds shall be deposited to the reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. The balance of the proceeds shall be deposited to the project account.
- b) All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- c) Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- d) Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

(7) Bond Defeasement

On December 12, 2012, the District issued \$10,000,000 in revenue bonds with interest rates ranging from 1.375-3.00%, released \$412,500 of the March 1, 2009 Series A revenue bond reserve and \$330,500 of the March 1, 2009 Series B revenue bond reserve to partially advance refund \$4,125,000 of outstanding March 1, 2009 Series A revenue bonds with interest rates from 5.10-5.35%, and \$3,305,000 of outstanding March 1, 2009 Series B revenue bonds with interest rates from 5.125-5.15%.

The proceeds of the refunding issue along with the released debt reserve amounts have been placed in an irrevocable escrow account and have been invested in U.S. Government obligations which have been certified to be sufficient to pay part of the interest of both the March 1, 2009 Series A and B revenue bonds from January 1, 2013 through July 1, 2019 as well as \$4,125,000 of principal of the March 1, 2009 Series A revenue bonds when they become callable on January 1, 2019 and \$3,305,000 of principal of the March 1, 2009 Series B revenue bonds when they become callable on July 1, 2019. The interest due on the March 1, 2009 Series A and B revenue bonds that is not being paid from the escrow account remains the responsibility of the District.

The District is contingently liable in the remote possibility the escrow account is insufficient to pay the refunded bonds. After the principal and interest on all of the outstanding bonds are paid, any remaining funds in the escrow account, together with any interest thereon, will be returned to the District. The new refunding bonds have been added to the appropriate financial statements and schedules.

At June 30, 2018, \$4,125,000 of the refunded March 1, 2009 Series A revenue bonds and \$3,305,000 of the refunded March 1, 2009 Series B revenue bonds are outstanding. Defeasement of principal and interest for the March 1, 2009 Series A revenue bonds for the year was \$0 and \$217,768 respectively. Defeasement of principal and interest for the March 1, 2009 Series B revenue bonds for the year was \$0 and \$169,666 respectively.

(8) Pension Plan

Plan Description - IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general information purposes only. Refer to the plan documents for more information.

Pension Benefits - A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits - A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions - Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2018, pursuant to the required rate, Regular members contributed 5.95% of covered payroll and the District contributed 8.93% of covered payroll, for a total rate of 14.88%.

The District's contributions to IPERS for the year ended June 30, 2018 were \$2,492,509.

Net Pension Liability, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - At June 30, 2018, the District reported a liability of \$25,490,438 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2017 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. At June 30, 2017, the District's proportion was 0.382667%, which was a decrease of 0.015492% from its proportion measured as of June 30, 2016.

For the year ended June 30, 2018, the District recognized pension expense of \$3,433,772. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 234,027	220,855
Changes of assumptions	4,429,063	-
Net difference between projected and actual earnings on IPERS' investments	-	266,239
Changes in proportion and differences between District contributions and the District's proportionate share of contributions	220,939	706,624
District contributions subsequent to the measurement date	2,492,509	-
Total	<u>\$ 7,376,538</u>	<u>1,193,718</u>

\$2,492,509 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2019. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2019	\$ 543,352
2020	1,851,914
2021	1,048,130
2022	(7,935)
2023	254,850
Total	<u>\$ 3,690,311</u>

There were no non-employer contributing entities at IPERS.

Actuarial Assumptions - The total pension liability in the June 30, 2017 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum.
Rates of salary increase (effective June 30, 2017)	3.25 to 16.25% average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 2017)	7.00% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study dated March 24, 2017.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	24.0%	6.25%
International equity	16.0	6.71
Core plus fixed income	27.0	2.25
Public credit	3.5	3.46
Public real assets	7.0	3.27
Cash	1.0	(0.31)
Private equity	11.0	11.15
Private real assets	7.5	4.18
Private credit	3.0	4.25
Total	100%	

Discount Rate - The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate - The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate 1% lower (6.00%) or 1% higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 41,998,015	25,490,438	11,620,901

IPERS' Fiduciary Net Position - Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to IPERS - At June 30, 2018, the District reported payables to IPERS of \$314,794 for legally required District contributions and \$209,745 for legally required employee contributions withheld from employee wages which had not yet been remitted to IPERS.

(9) Other Postemployment Benefits (OPEB)

Plan Description - The District administers a single-employer benefit plan which provides medical and prescription drug benefits for employees, retirees and their spouses. Group insurance benefits are established under Iowa Code Chapter 509A.13. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

OPEB Benefits - Individuals who are employed by the District and are eligible to participate in the group health plan are eligible to continue healthcare benefits upon retirement. Retirees under age 65 pay the same premium for the medical and prescription drug benefits as active employees, which results in an implicit rate subsidy and an OPEB liability. The District also offers a voluntary early retirement plan that provides District contributions to individual accounts for eligible medical expenses, which results in a direct subsidy and an OPEB liability.

Retired participants must be age 55 or older at retirement. At June 30, 2018, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	73
Active employees	<u>565</u>
Total	<u><u>638</u></u>

Total OPEB Liability - The District's total OPEB liability of \$1,719,048 was measured as of June 30, 2018, and was determined by an actuarial valuation as of that date.

Actuarial Assumptions - The total OPEB liability in the June 30, 2018 actuarial valuation was determined using the following actuarial assumptions and the entry age normal actuarial cost method, applied to all periods included in the measurement.

Rate of inflation (effective June 30, 2018)	2.60% per annum.
Rates of salary increase (effective June 30, 2018)	3.25-16.25% variable based on years of service, including inflation.
Discount rate (effective June 30, 2018)	3.87% compounded annually, including inflation.
Healthcare cost trend rate (effective June 30, 2018)	6.75% initial rate decreasing by varying amounts to an ultimate rate of 4.00%

Discount Rate - The discount rate used to measure the total OPEB liability was 3.87% which reflects the index rate for 20-year tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher as of the measurement date.

Mortality rates are from the RP-2000 Employee Mortality Table, projected generationally using Scale AA. Annual retirement probabilities are based on varying rates by age and turnover probabilities mirror those used by IPERS.

The actuarial assumptions used in the June 30, 2018 valuation were based on the results of an actuarial experience studies with dates corresponding to those listed above.

Changes in the Total OPEB Liability

	<u>Total OPEB Liability</u>
Total OPEB liability beginning of year, as restated	\$ 1,763,304
Changes for the year:	
Service cost	122,623
Interest	64,098
Changes in assumptions	(38,306)
Benefit payments	<u>(192,671)</u>
Net changes	<u>(44,256)</u>
Total OPEB liability end of year	<u><u>\$ 1,719,048</u></u>

Changes of assumptions reflect a change in the discount rate from 3.58% in fiscal year 2017 to 3.87% in fiscal year 2018.

Sensitivity of the District's Total OPEB Liability to Changes in the Discount Rate - The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1% lower (2.87%) or 1% higher (4.87%) than the current discount rate.

	1% Decrease (2.87%)	Discount Rate (3.87%)	1% Increase (4.87%)
Total OPEB liability	\$ 1,845,401	1,719,048	1,600,696

Sensitivity of the District's Total OPEB Liability to Changes in the Healthcare Cost Trend Rates - The following presents the total OPEB liability of the District as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower (5.75%) or 1% higher (7.75%) than the current healthcare cost trend rates.

	1% Decrease (5.75%)	Healthcare Cost Trend Rate (6.75%)	1% Increase (7.75%)
Total OPEB liability	\$ 1,566,036	1,719,048	1,902,251

OPEB Expense and Deferred Inflows of Resources Related to OPEB - For the year ended June 30, 2018, the District recognized OPEB expense of \$183,069. At June 30, 2018, the District reported deferred inflows of resources related to OPEB from the following resources:

	Deferred Inflows of Resources
Changes in assumptions	\$ 34,654

The amount reported as deferred outflows of resources related to OPEB will be recognized as OPEB expense as follows:

Year Ended June 30,	Amount
2019	\$ (3,652)
2020	(3,652)
2021	(3,652)
2022	(3,652)
2023	(3,652)
Thereafter	(16,394)
Total	\$ (34,654)

(10) Risk Management

Burlington Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage from the prior year.

(11) Categorical Funding

In accordance with Iowa Administrative Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund balance.

The following is a schedule of the categorical funding restricted in the General Fund at June 30, 2018.

Program	Amount
Home school assistance program	\$ 212,543
Gifted and talented programs	136,392
Teacher leadership state aid	64,972
Four-year-old preschool state aid	499,909
Beginning administrator mentoring and induction program	1,460
Textbook aid for nonpublic students	12,092
Professional development for model core curriculum	212,550
Professional development	249,086
Market factor incentives	1,043
Total	<u><u>\$ 1,390,047</u></u>

(12) Reconciliation of Governmental Fund Balances to Net Position

Detailed reconciliation of certain governmental fund balances to net position is as follows:

	Net investment in Capital Assets	Unassigned/ Unrestricted
Fund balance (Exhibit C)	\$ -	11,222,443
Capital assets, net of accumulated depreciation	74,688,374	-
Revenue bond capitalized indebtedness	(24,010,000)	-
Nonspendable fund balance	-	8,700
Assigned fund balance	-	174,461
Internal service fund	-	703,550
Pension related deferred outflows	-	7,195,584
Compensated absences	-	(217,962)
Net pension liability	-	(24,860,824)
Total OPEB liability	-	(1,707,530)
Pension related deferred inflows	-	(1,164,233)
OPEB related deferred inflows	-	(34,422)
Net position (Exhibit A)	<u><u>\$ 50,678,374</u></u>	<u><u>(8,680,233)</u></u>

(13) Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$2,005,193 for the year ended June 30, 2018 and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

(14) Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Property tax revenues of the District were reduced the following amounts for the year ended June 30, 2018 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Burlington	Urban renewal	\$ 331,376
City of West Burlington	Urban renewal	18,518
City of West Burlington	Urban revitalization	2,584
Des Moines County	Urban revitalization	135,507

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2018, this reimbursement amounted to \$144,260.

(15) Accounting Change/Restatement

Governmental Accounting Standards Board Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions (OPEB), was implemented during fiscal year 2018. The revised requirements establish new financial reporting requirements for state and local governments which provide their employees with OPEB benefits, including additional note disclosure and required supplementary information. In addition, GASB Statement No. 75 requires a state or local government employer to use the entry age normal actuarial cost method, and requires deferred outflows of resources and deferred inflows of resources which arise from other types of events related to OPEB to be recognized. During the transition year, as permitted, beginning balances for deferred outflows of resources and deferred inflows of resources are not reported. Furthermore, the District no longer intends to offer early retirement to its employees year after year and, therefore, the liability associated with the District's early retirement was excluded from the District's new OPEB valuation and will now be reported as termination benefits under GASB Statement No. 47. Beginning net position for governmental activities and business type activities was restated to retroactively report the change in valuation of the beginning total OPEB liability and reporting for termination benefits, as follows:

	Governmental Activities	Business Type Activities
Net position June 30, 2017, as previously reported	\$ 56,121,366	508,210
OPEB obligation measured under previous standards	(1,568,501)	(14,085)
Total OPEB liability at June 30, 2017	(1,751,490)	(11,814)
Net position July 1, 2017, as restated	\$ 52,801,375	482,311

Required Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES/EXPENSES AND
CHANGES IN BALANCES - BUDGET AND ACTUAL - ALL GOVERNMENTAL FUNDS
AND PROPRIETARY FUNDS
REQUIRED SUPPLEMENTARY INFORMATION
YEAR ENDED JUNE 30, 2018

	Governmental Funds Actual	Proprietary Funds Actual	Total Actual	Budgeted Amounts		Final to Actual Variance
				Original	Final	
Revenues:						
Local sources	\$ 17,149,245	420,868	17,570,113	17,021,344	17,021,344	548,769
State sources	37,281,697	13,538	37,295,235	38,568,915	38,568,915	(1,273,680)
Federal sources	3,701,263	1,358,081	5,059,344	5,350,000	5,350,000	(290,656)
Total revenues	58,132,205	1,792,487	59,924,692	60,940,259	60,940,259	(1,015,567)
Expenditures/Expenses:						
Instruction	34,538,998	11,636	34,550,634	37,235,000	37,235,000	2,684,366
Support services	15,363,947	-	15,363,947	17,309,000	17,309,000	1,945,053
Non-instructional programs	41,799	1,720,059	1,761,858	2,250,000	2,250,000	488,142
Other expenditures	5,915,503	-	5,915,503	7,556,829	7,556,829	1,641,326
Total expenditures/expenses	55,860,247	1,731,695	57,591,942	64,350,829	64,350,829	6,758,887
Excess(Deficiency) of revenues over(under) expenditures/expenses	2,271,958	60,792	2,332,750	(3,410,570)	(3,410,570)	5,743,320
Other financing sources, net	218,246	(86,364)	131,882	-	-	131,882
Excess(Deficiency) of revenues and other financing sources over(under) expenditures/expenses and other financing uses	2,490,204	(25,572)	2,464,632	(3,410,570)	(3,410,570)	5,875,202
Balances beginning of year, as restated	22,310,524	482,311	22,792,835	19,847,317	19,847,317	2,945,518
Balances end of year	\$ 24,800,728	456,739	25,257,467	16,436,747	16,436,747	8,820,720

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - BUDGETARY REPORTING
YEAR ENDED JUNE 30, 2018

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust and Agency Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST FOUR YEARS*
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2018	2017	2016	2015
District's proportion of the net pension liability	0.382667%	0.398159%	0.399011%	0.406458%
District's proportionate share of the net pension liability	\$ 25,490	25,057	19,713	16,120
District's covered payroll	\$ 28,586	28,595	27,385	26,607
District's proportionate share of the net pension liability as a percentage of its covered payroll	89.17%	87.63%	71.98%	60.59%
IPERS' net position as a percentage of the total pension liability	82.21%	81.82%	85.19%	87.61%

* In accordance with GASB Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009
Statutorily required contribution	\$ 2,493	2,553	2,554	2,445	2,376	2,207	1,932	1,664	1,630	1,535
Contributions in relation to the statutorily required contribution	\$ (2,493)	(2,553)	(2,554)	(2,445)	(2,376)	(2,207)	(1,932)	(1,664)	(1,630)	(1,535)
Contribution deficiency (excess)	-	-	-	-	-	-	-	-	-	-
District's covered payroll	\$ 27,912	28,586	28,595	27,385	26,607	25,456	23,941	23,942	24,511	24,173
Contributions as a percentage of covered payroll	8.93%	8.93%	8.93%	8.93%	8.93%	8.67%	8.07%	6.95%	6.65%	6.35%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTEDS TO REQUIRED SUPPLEMENTARY INFORMATION - PENSION LIABILITY
YEAR ENDED JUNE 30, 2018

Changes of benefit terms:

Legislation enacted in 2010 modified benefit terms for Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3% per year measured from the member's first unreduced retirement age to a 6% reduction for each year of retirement before age 65.

Changes of assumptions:

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE DISTRICT'S
TOTAL OPEB LIABILITY, RELATED RATIOS AND NOTES
FOR THE CURRENT YEAR
REQUIRED SUPPLEMENTARY INFORMATION

	<u>2018</u>
Service cost	\$ 122,623
Interest cost	64,098
Changes in assumptions	(38,306)
Benefit payments	<u>(192,671)</u>
Net change in total OPEB liability	(44,256)
Total OPEB liability beginning of year, as restated	<u>1,763,304</u>
Total OPEB liability end of year	<u><u>\$ 1,719,048</u></u>
Covered-employee payroll	\$ 25,093,953
Total OPEB liability as a percentage of covered-employee payroll	6.85%

Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Changes in benefit terms:

There were no significant changes in benefit terms.

Changes in assumptions:

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Year ended June 30, 2018	3.87%
Year ended June 30, 2017	3.58%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.



Burlington Community School District

Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING BALANCE SHEET
 NONMAJOR GOVERNMENTAL FUNDS
 JUNE 30, 2018

	Special Revenue			
	Management Levy	Student Activity	Support Trust	Total
Assets				
Cash and pooled investments	\$ 1,354,959	361,217	785,994	2,502,170
Receivables:				
Property tax:				
Delinquent	20,658	-	-	20,658
Succeeding year	1,299,997	-	-	1,299,997
Total assets	\$ 2,675,614	361,217	785,994	3,822,825
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Accounts payable	\$ 19,191	38,867	1,313	59,371
Deferred inflows of resources:				
Unavailable revenues:				
Succeeding year property tax	1,299,997	-	-	1,299,997
Fund balances:				
Restricted for:				
Management levy purposes	1,356,426	-	-	1,356,426
Student activities	-	322,350	-	322,350
Support trust purposes	-	-	784,681	784,681
Total fund balances	1,356,426	322,350	784,681	2,463,457
Total liabilities, deferred inflows of resources and fund balances	\$ 2,675,614	361,217	785,994	3,822,825

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES AND
 CHANGES IN FUND BALANCES
 NONMAJOR GOVERNMENTAL FUNDS
 YEAR ENDED JUNE 30, 2018

	Special Revenue			
	Management Levy	Student Activity	Support Trust	Total
Revenues:				
Local sources:				
Local tax	\$ 1,897,007	-	-	1,897,007
Other	26,862	446,012	33,816	506,690
State sources	30,863	-	-	30,863
Total revenues	1,954,732	446,012	33,816	2,434,560
Expenditures:				
Current:				
Instruction:				
Regular	655,157	-	143,271	798,428
Other	-	535,608	1,000	536,608
Support services:				
Student	19,519	-	-	19,519
Instructional staff	23,939	-	-	23,939
Administration	157,393	-	-	157,393
Operation and maintenance of plant	539,745	-	-	539,745
Transportation	84,569	-	-	84,569
Non-instructional programs:				
Food service operations	15,391	-	-	15,391
Total expenditures	1,495,713	535,608	144,271	2,175,592
Excess(Deficiency) of revenues over(under) expenditures	459,019	(89,596)	(110,455)	258,968
Fund balances beginning of year	897,407	411,946	895,136	2,204,489
Fund balances end of year	\$ 1,356,426	322,350	784,681	2,463,457

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING BALANCE SHEET
 CAPITAL PROJECTS FUND ACCOUNTS
 JUNE 30, 2018

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 4,125,368	1,473,228	5,598,596
Receivables:			
Property tax:			
Delinquent	-	11,005	11,005
Succeeding year	-	1,053,440	1,053,440
Due from other governments	348,984	-	348,984
Total assets	\$ 4,474,352	2,537,673	7,012,025
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 21,279	110,480	131,759
Deferred inflows of resources:			
Unavailable revenues:			
Succeeding year property tax	-	1,053,440	1,053,440
Fund balances:			
Restricted for:			
School infrastructure	4,453,073	-	4,453,073
Physical plant and equipment	-	1,373,753	1,373,753
Total fund balances	4,453,073	1,373,753	5,826,826
Total liabilities, deferred inflows of resources and fund balances	\$ 4,474,352	2,537,673	7,012,025

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES
 AND CHANGES IN FUND BALANCES
 CAPITAL PROJECTS FUND ACCOUNTS
 YEAR ENDED JUNE 30, 2018

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	1,039,271	1,039,271
Other	32,937	11,313	44,250
State sources	4,119,739	16,171	4,135,910
Total revenues	4,152,676	1,066,755	5,219,431
Expenditures:			
Current:			
Support services:			
Instructional staff	248,241	16,182	264,423
Operation and maintenance of plant	-	73,194	73,194
Transportation	-	191,145	191,145
Capital outlay	207,206	902,427	1,109,633
Total expenditures	455,447	1,182,948	1,638,395
Excess(Deficiency) of revenues over(under) expenditures	3,697,229	(116,193)	3,581,036
Other financing sources(uses):			
Proceeds from the sale of equipment	-	13,810	13,810
Transfers out	(2,774,803)	-	(2,774,803)
Total other financing sources(uses)	(2,774,803)	13,810	(2,760,993)
Change in fund balances	922,426	(102,383)	820,043
Fund balances beginning of year	3,530,647	1,476,136	5,006,783
Fund balances end of year	\$ 4,453,073	1,373,753	5,826,826

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, STUDENT ACTIVITY ACCOUNTS
YEAR ENDED JUNE 30, 2018

Account	Balance Beginning of Year	Revenues	Expendi- tures	Balance End of Year
<u>Senior High School:</u>				
Activity	\$ 8,531	144	279	8,396
Vocal	8,840	35,299	40,106	4,033
Orchestra	13	18,981	18,624	370
Band	8,733	51,620	55,917	4,436
Jazz Band	301	-	-	301
Music/Drama	7,665	2,336	2,187	7,814
Middle School Athletics	6,428	19,892	16,521	9,799
Future Grayhound Basketball	4,952	-	-	4,952
General Athletics	140,790	10,509	53,816	97,483
Future Grayhound Swimming	5,700	-	5,500	200
Cheerleading	80	15,165	14,435	810
Art Club	2,189	-	405	1,784
Kiwanis Key Club	270	-	-	270
Purple & Gray	184	-	-	184
International Club	258	-	-	258
Pathfinder	11,296	25,509	35,871	934
Ecology Club	1,922	341	341	1,922
AP Club	707	-	-	707
Varsity Club	11,291	17,910	18,576	10,625
Renaissance Store	5,970	-	3,921	2,049
Coffee Shop	1,189	2,379	1,147	2,421
Grayhound Graphics	37	53	-	90
Sophomore Class	247	-	-	247
Junior Class	8,772	6,550	7,160	8,162
Senior Class	8,590	-	394	8,196
National Honor Society	348	100	385	63
Student Council	2,927	22,218	15,307	9,838
Dreamcatchers	-	50	50	-
Hero	5,902	3,353	5,848	3,407
Math Club	26	-	-	26
Tech Student Association	-	2,998	1,740	1,258
DECA	693	548	1,240	1
BPA Club	71	10	79	2
Dance Team	1,221	429	1,316	334
Color Guard	18	-	-	18
Hounds for Help	119	32	-	151
Swing Dance	462	-	35	427
GLSA Club	-	1,247	1,150	97
SC Fundraisers	263	-	-	263

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 5

<u>Account</u>	<u>Balance Beginning of Year</u>	<u>Revenues</u>	<u>Expendi- tures</u>	<u>Balance End of Year</u>
Senior High School (continued):				
<u>Boys Athletics:</u>				
Cross Country	830	2,735	3,140	425
Bowling	1,162	-	280	882
Basketball	26,350	11,332	22,931	14,751
Football	41,274	34,649	27,942	47,981
Soccer	1,442	5,759	5,073	2,128
Baseball	-	34,073	34,073	-
Track	1,370	8,260	9,630	-
Tennis	-	214	-	214
Golf	449	2,217	2,175	491
Swimming	19,733	16,112	26,500	9,345
Wrestling	1,914	18,410	18,492	1,832
<u>Girls Athletics:</u>				
Basketball	6,695	5,728	8,164	4,259
Volleyball	6,344	13,582	19,926	-
Soccer	1,193	6,424	4,577	3,040
Softball	2,129	16,662	18,791	-
Track	1,303	6,866	6,767	1,402
Tennis	1,042	552	690	904
Golf	289	990	727	552
Swimming	3,699	3,669	2,122	5,246
Total Senior High School	374,223	425,907	514,350	285,780
 <u>Other Buildings:</u>				
James Madison	15,756	3,806	4,737	14,825
Oak Street	15,963	7,429	8,125	15,267
Black Hawk	3,878	4,058	3,785	4,151
Corse	191	2,604	2,429	366
Grimes	647	1,249	1,248	648
North Hill	1,288	24	-	1,312
Sunnyside	-	935	934	1
Total Other Buildings	37,723	20,105	21,258	36,570
Total	\$ 411,946	446,012	535,608	322,350

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, SUPPORT TRUST ACCOUNTS
 YEAR ENDED JUNE 30, 2018

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Gueglar Trust	\$ 14,043	367	-	14,410
John H. Witte Foundation	1	-	-	1
Dorothy Lind Music	475,148	28	105,719	369,457
Burlington Education Foundation	14,264	27,242	37,552	3,954
Wedertz Music	55	-	-	55
Wagner Softball Field	2,041	2,210	1,000	3,251
Wayne Duke Baseball Field	4,054	32	-	4,086
James Anders	121,934	3,910	-	125,844
Stiefel Athletic Track	11,276	27	-	11,303
Bell Trust	252,320	-	-	252,320
Total	<u>\$ 895,136</u>	<u>33,816</u>	<u>144,271</u>	<u>784,681</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES PRIVATE PURPOSE TRUST FUND, SCHOLARSHIP ACCOUNTS
 YEAR ENDED JUNE 30, 2018

Account	Beginning Net Position	Additions	Deductions	Ending Net Position
Adams Scholarship	\$ 34,167	87	-	34,254
Farr Scholarship	70	-	-	70
E. Bedell Scholarship	1,100	7	-	1,107
Haberichter Scholarship	642	3	-	645
Minority Scholarship	-	200	-	200
Johannsen Scholarship	11,353	10	-	11,363
Perrine Scholarship	2,140	10	150	2,000
Wehman Scholarship	4,683	17	-	4,700
Student Council Scholarship	4,990	-	1,150	3,840
Ecology Scholarship	-	261	-	261
Huppenbauer Science Scholarship	7,738	31	956	6,813
Berquist Music Scholarship	17,817	-	-	17,817
Jefferson Nurse Scholarship	700	250	250	700
FCCLA Scholarship	-	3,000	-	3,000
Bila Scholarship	277	-	-	277
Total	\$ 85,677	3,876	2,506	87,047

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF REVENUES BY SOURCE AND EXPENDITURES BY FUNCTION
ALL GOVERNMENTAL FUNDS
FOR THE LAST TEN YEARS

	Modified Accrual Basis									
	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009
Revenues:										
Local sources:										
Local tax	\$ 15,109,698	14,414,004	14,352,078	13,728,463	13,247,611	17,829,755	17,686,041	18,141,425	16,866,587	16,638,519
Tuition	798,301	734,594	666,068	773,989	747,319	842,761	888,290	844,437	775,253	877,646
Other	1,241,246	860,478	1,270,050	2,136,096	919,649	1,168,439	1,097,340	1,236,677	1,113,665	1,462,413
Intermediate sources	-	-	-	-	-	-	-	-	-	11,245
State sources	37,281,697	37,857,761	38,162,654	38,633,289	35,713,620	28,951,262	27,776,422	26,764,662	22,741,368	25,981,710
Federal sources	3,701,263	3,685,850	3,462,529	3,523,851	3,667,089	3,457,367	3,743,517	4,152,096	6,271,850	3,143,931
Total	\$ 58,132,205	57,552,687	57,913,379	58,795,688	54,295,288	52,249,584	51,191,610	51,139,297	47,768,723	48,115,464
Expenditures:										
Instruction:										
Regular	\$ 21,803,196	21,932,930	22,030,385	21,265,845	21,038,676	19,880,112	18,657,669	19,000,323	19,278,925	19,065,852
Special	7,299,380	8,197,497	8,509,365	8,374,707	9,004,603	8,563,453	7,802,586	7,537,060	7,262,052	7,026,127
Other	5,436,422	5,038,393	4,275,462	4,073,374	4,407,776	4,167,126	4,109,730	4,274,692	4,375,497	3,840,035
Support services:										
Student	1,755,377	1,862,621	1,877,041	2,036,219	1,942,209	1,879,602	1,771,981	1,690,262	1,761,886	1,740,967
Instructional staff	2,648,208	2,474,561	2,731,018	2,283,938	1,065,944	1,028,208	1,125,093	1,357,465	1,054,141	953,983
Administration	5,260,444	5,559,996	5,281,751	5,012,281	4,982,721	4,888,832	4,331,694	4,207,196	4,315,120	4,413,901
Operation and maintenance of plant	4,263,140	3,955,927	3,699,216	3,884,968	3,845,625	3,746,172	3,273,056	3,224,202	3,052,580	3,103,472
Transportation	1,436,778	1,489,247	1,523,144	1,451,216	1,482,560	1,410,024	1,301,984	1,181,520	1,030,181	1,095,899
Non-instructional programs	41,799	32,122	40,610	56,062	39,651	18,266	21,283	39,689	36,378	28,231
Capital outlay	1,109,633	1,120,453	1,055,201	1,814,612	2,368,609	2,111,402	4,622,937	10,350,553	6,462,340	13,971,730
Long-term debt:										
Principal	1,815,000	1,760,000	1,730,000	1,695,000	1,655,000	1,695,000	-	-	-	20,557,713
Interest and fiscal charges	985,677	1,052,328	1,112,015	1,166,453	1,221,302	1,145,587	1,418,345	1,418,345	1,520,176	1,263,199
Other expenditures:										
AEA flow-through	2,005,193	1,965,000	2,011,978	2,009,543	1,909,154	1,752,703	1,702,734	1,882,597	1,821,651	1,640,819
Total	\$ 55,860,247	56,441,075	55,877,186	55,124,218	54,963,830	52,286,487	50,139,092	56,163,904	51,970,927	78,701,928

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
YEAR ENDED JUNE 30, 2018

Grantor/Program	CFDA Number	Pass-Through Entity Identifying Number	Expenditures
Indirect:			
U.S. Department of Agriculture:			
Iowa Department of Education:			
Child Nutrition Cluster:			
School Breakfast Program	10.553	FY 18	\$ 212,490
National School Lunch Program	10.555	FY 18	1,109,766 *
Summer Food Service Program for Children	10.559	FY 18	35,825
			<u>1,358,081</u>
U.S. Department of Education:			
Iowa Department of Education:			
Title I Grants to Local Educational Agencies	84.010	FY 18	1,388,900
Career and Technical Education - Basic Grants to States	84.048	FY 18	70,421
Rehabilitation Services Vocational Rehabilitation Grants to States	84.126	FY 18	33,840
Twenty-First Century Community Learning Centers	84.287	FY 18	432,009
Special Education - State Personnel Development	84.323	FY 18	20,000
Rural Education	84.358	FY 18	15,677
Supporting Effective Instruction State Grants	84.367	FY 18	200,053
Great Prairie Area Education Agency:			
Special Education Grants to States	84.027	FY 18	233,346
English Language Acquisition State Grants	84.365	FY 18	1,504
U.S. Department of Health and Human Services:			
Iowa Department of Education:			
Developmental Disabilities Projects of National Significance	93.631	FY18	483
Cooperative Agreements to Support Comprehensive School Health Programs to Prevent the Spread of HIV and Other Important Health Problems	93.938	FY18	233
Corporation for National and Community Service:			
Iowa Department of Public Health:			
AmeriCorps	94.006	FY 18	10,332
Total			<u>\$ 3,764,879</u>

* Includes \$135,290 of non-cash awards.

Basis of Presentation - The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of Burlington Community School District under programs of the federal government for the year ended June 30, 2018. The information on this Schedule is presented in accordance with the requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only selected portion of the operations of Burlington Community School District, it is not intended to and does not represent the financial position, changes in financial position or cash flows of Burlington Community School District.

Summary of Significant Accounting Policies - Expenditures reported in the Schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, as applicable, either the cost principles in OMB Circular A-87, Cost Principles for State, Local and Indian Tribal Governments, or the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowed or are limited as to reimbursement.

Indirect Cost Rate - Burlington Community School District did not elect to use the 10% de minimis indirect cost rate as allowed under the Uniform Guidance.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

Independent Auditor's Report on Internal Control
over Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in Accordance with
Government Auditing Standards

To the Board of Education of Burlington Community School District:

We have audited in accordance with U.S. generally accepted auditing standards and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District as of and for the year ended June 30, 2018, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated January 29, 2019.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Burlington Community School District's internal control over financial reporting to determine the audit procedures appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control.

A deficiency in internal control exists when the design or operation of the control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Burlington Community School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, non-compliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of non-compliance or other matters that are required to be reported under Government Auditing Standards. However, we noted certain immaterial instances of non-compliance or other matters that are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2018 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Burlington Community School District's Responses to Findings

Burlington Community School District's responses to findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. Burlington Community School District's responses were not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on them.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the result of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of Burlington Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.

A handwritten signature in cursive script that reads "Nolte, Cornman & Johnson PC".

NOLTE, CORNMAN & JOHNSON, P.C.

January 29, 2019
Newton, Iowa

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

Independent Auditor's Report on Compliance
for Each Major Federal Program and on Internal Control over Compliance
Required by the Uniform Guidance

To the Board of Education of Burlington Community School District:

Report on Compliance for Each Major Federal Program

We have audited Burlington Community School District's compliance with the types of compliance requirements described in U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2018. Burlington Community School District's major federal programs are identified in Part I of the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Burlington Community School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with U.S. generally accepted auditing standards, the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether non-compliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Burlington Community School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe our audit provides a reasonable basis for our opinion on compliance for each of the major federal programs. However, our audit does not provide a legal determination of Burlington Community School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Burlington Community School District complied, in all material respects, with the types of requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2018.

Report on Internal Control Over Compliance

Management of Burlington Community School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Burlington Community School District's internal control over compliance with the type of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.


NOLTE, CORNMAN & JOHNSON, P.C.

January 29, 2019
Newton, Iowa

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2018

Part I: Summary of the Independent Auditor's Results:

- (a) Unmodified opinions were issued on the financial statements prepared in accordance with U.S. generally accepted accounting principles.
- (b) No material weaknesses in internal control over financial reporting were disclosed by the audit of the financial statements.
- (c) The audit did not disclose any noncompliance which is material to the financial statements.
- (d) No material weaknesses in internal control over major programs were noted.
- (e) An unmodified opinion was issued on compliance with requirements applicable to each major program.
- (f) The audit disclosed no audit findings which were required to be reported in accordance with Office of Management and Budget Circular A-133, Section .510(a).
- (g) Major programs were as follows:
 - CFDA Number 84.010 - Title I Grants to Local Educational Agencies
 - CFDA Number 84.287 - Twenty-First Century Community Learning Centers
- (h) The dollar threshold used to distinguish between Type A and Type B programs was \$750,000.
- (i) Burlington Community School District qualified as a low-risk auditee.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2018

Part II: Findings Related to the Financial Statements:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCY:

No matters were noted.

Part III: Findings and Questioned Costs For Federal Awards:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCIES:

No material weaknesses in internal control over the major programs were noted.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2018

Part IV: Other Findings Related to Required Statutory Reporting:

- IV-A-18 Certified Budget - District disbursements for the year ended June 30, 2018 did not exceed the certified budgeted amounts.
- IV-B-18 Questionable Disbursements - No expenditures we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.
- IV-C-18 Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.
- IV-D-18 Business Transactions - Business transactions between the District and District officials are noted as follows:

Name, Title and Business Connection	Transaction Description	Amount
Adam Glasgow, Teacher Owner of Grayhound Painting	Services-Painting	\$ 87,971
Bryan Bross, Board Member Manager at Klingner & Associates P.C. with equity stake	Services-Architect	\$ 41,447

In accordance with an Attorney General's opinion dated July 2, 1990, the above transactions with the District employee do not appear to represent a conflict of interest.

In accordance with the Chapter 279.7A of the Code of Iowa, the above transactions with the District's board member do not appear to represent a conflict of interest as the services were competitively bid and the board member recused himself from discussion and voting.

- IV-E-18 Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that the coverage is adequate for current operations.
- IV-F-18 Board Minutes - We noted no transactions requiring Board approval which have not been approved by the Board.
- IV-G-18 Certified Enrollment - We noted during our audit the basic enrollment data certified to the Iowa Department of Education was overstated by 0.22 students.

Recommendation - The District should contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management on our behalf to resolve this matter.

Conclusion - Response accepted.

- IV-H-18 Supplementary Weighting - No variances in the basic supplementary weighting data certified to the Iowa Department of Education were noted.
- IV-I-18 Deposits and Investments - No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.
- IV-J-18 Certified Annual Report - The Certified Annual Report was filed with the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.
- IV-K-18 Categorical Funding - No instances were noted of categorical funding used to supplant rather than supplement other funds.
- IV-L-18 Statewide Sales, Services and Use Tax - No instances of non-compliance with the allowable uses of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2018, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 3,530,647
Revenues:		
Sales tax revenues	\$ 4,119,739	
Other local revenues	32,937	4,152,676
		<u>7,683,323</u>
Expenditures/transfers out:		
School infrastructure construction	115,179	
Equipment	61,521	
Other	278,747	
Transfers to other funds:		
Debt service fund	2,774,803	3,230,250
		<u>3,230,250</u>
Ending balance		<u><u>\$ 4,453,073</u></u>

For the year ended June 30, 2018, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

- II-M-18 Board Policies - We noted during our audit instances of District board policies which do not appear to have been reviewed and/or updated within the past five years. According to Iowa Administrative Code Chapter 281-12.3(2), *"Policies shall be reviewed at least every five years to ensure relevance to current practices and compliance with the Iowa Code, administrative rules and decisions, and court decisions."*

Recommendation - The District should review its official board policies and update all policies that have not been updated within the last five years. The District should also review procedures and take steps to ensure board policies are reviewed in a timely manner in accordance with Chapter 281-12.3(2) of the Iowa Administrative Code.

Response - We have implanted a schedule to complete all policy reviews and updates on regular rotation. Any that are out of date were completed first and are updated now.

Conclusion - Response accepted.